

₹12,400-crore Dabur India, a big gun in the FMCG space, used four group firms to start buying shares of Religare from the market. When their holding hit 25% last September, India's securities markets law required them to make an open offer to acquire 26% from the market, which would have given them majority control. The Burmans announced the open offer at ₹235 per share (the stock closed at ₹243 on the BSE on July 15, 2024), armed with the ₹2,116 crore required if the issue had been fully subscribed.

But what should have been an open-and-shut case has turned into a long-drawn battle, with REL's board digging in its heels. It said the company is worth much more and that the Burmans are not fit and proper to run a financial services firm such as Religare. The company's independent directors levelled allegations of fraud against the Burmans in letters written to Sebi, RBI and the Insurance Regulatory and Development Authority of India (Irdai).

The Burmans, whose Burman Family Holdings controls their businesses in life and general insurance, hospitality and media, said they were surprised by the opposition. They said they had discussed the open offer with REL before making it. The Burmans then retaliated with insider trading charges against Rashmi Saluja, Religare's Executive Chairperson, and accused REL of overpaying her. This was in addition to her having received high compensation through stock options at REL's finvest business, and Care Health Insurance. To this, the REL board said no additional stock options had been issued to Saluja. This was preceded by a report by corporate governance advisory firm InGovern Research Services last November also raised the issue of stock options in Care was more than ₹480 crore.

THE BURMANS' HOLDING

- ▶ The Burman family holds a combined 25.16% in Religare
- ▶ Religare has no promoter shareholding

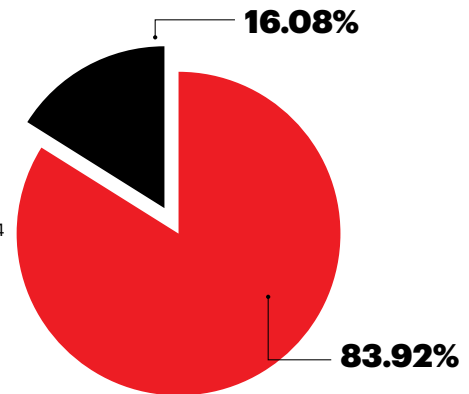
Religare Enterprises	(Shareholding in %)
• Puran Associates Private Ltd	9.32
• VIC Enterprises Private Ltd	7.46
• M.B. Finmart Private Limited	5.49
• Milky Investment and Trading Company	2.89

STAKE HELD BY ENTITIES OWNED BY THE BURMAN FAMILY IN RELIGARE;
DATA AS OF MARCH 31, 2024 **SOURCE** ACE EQUITY

THE STAKE BREAK-UP

- NON-INSTITUTIONS
- INSTITUTIONS

NOTE TOTAL SHAREHOLDING IN RELIGARE; DATA AS OF MARCH 31, 2024
SOURCE ACE EQUITY



THE REMUNERATION ROW

RELIGARE ENTERPRISES Ltd's (REL) annual report for FY23 mentions Rashmi Saluja's total remuneration as ₹8.12 crore. Of this, salary and allowances accounted for the biggest chunk at ₹5.82 crore, followed by ₹1 crore of guaranteed bonus, and accommodation, car and other perquisites at ₹1.30 crore.

A report put out by corporate governance advisory firm InGovern Research Services last November also raised the issue of stock options. "A reading of

REL's annual reports and its key subsidiaries shows the large, vested interest that Rashmi Saluja has due to excessive remuneration as well as regulatory breaches and non-disclosures by the company. In the past three to four years, total valuation of options of REL and of Care Health Insurance, its subsidiary, issued to Saluja is over ₹480 crore. This is in addition to compensation paid at REL," it said.

Besides, it also said that options in Care were issued

despite it being rejected by insurance regulator Irdai, and without consent from REL's shareholders. Religare was quick to refute the allegations. A statement then put out by REL said Saluja's remuneration was ₹8.12 crore and taking the perquisite value of the stock options, the number stood at ₹42.06 crore.

Saluja's high salary has been one of the major sticking points with the Burmans as well. BT

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